5-6b Recording Merchandise Transactions under the Periodic Inventory System

Using the periodic inventory system, purchases of inventory are not recorded in the inventory account. Instead, purchases, purchases discounts, and purchases returns and allowances accounts are used. In addition, the sales of merchandise are not recorded in the inventory account. Thus, there is no detailed record of the amount of inventory on hand at any given time. At the end of the period, a physical count of inventory on hand is taken. This physical count is used to determine the cost of goods sold as will be illustrated later.

The use of purchases, purchases discounts, purchases returns and allowances, and freight in accounts are described in this section.

Purchases

Purchases of inventory are recorded in a purchases account rather than in the inventory account. Purchases is debited for the invoice amount of a purchase.

Purchases Discounts

Purchases discounts are normally recorded in a separate purchases discounts account. The balance of the purchases discounts account is reported as a deduction from Purchases for the period. Thus, Purchases Discounts is a contra (or offsetting) account to Purchases.

Purchases Returns and Allowances

Purchases returns and allowances are recorded in a similar manner as purchases discounts. A separate purchases returns and allowances account is used to record returns and allowances. Purchases returns and allowances are reported as a deduction from Purchases for the period. Thus, Purchases Returns and Allowances is a contra (or offsetting) account to Purchases.

Freight In

When merchandise is purchased FOB shipping point, the buyer pays for the freight. Under the periodic inventory system, freight paid when purchasing merchandise FOB shipping point is debited to Freight In, Transportation In, or a similar account.

The preceding periodic inventory accounts and their effect on the cost of merchandise purchased are summarized as follows:

Account	Entry to Increase	Normal Balance	Effect on Cost of Merchandise Purchased
Purchases	Debit	Debit	Increases
Purchases Discounts	Credit	Credit	Decreases
Purchases Returns and Allowances	Credit	Credit	Decreases
Freight In	Debit	Debit	Increases

Exhibit 19 illustrates the recording of merchandise transactions using the periodic system.

Exhibit 19

Transactions Using the Periodic Inventory System

Transaction	Periodic Inventory System		
June 5. Purchased $30,000 of merchandise on account, terms 2/10, n/30.	Purchases	30,000	
	Accounts Payable		30,000
June 8. Returned merchandise purchased on account on June 5, $500.	Accounts Payable	500	
	Purchases Returns and Allowances		500
June 15. Paid for purchase of June 5, less return of $500 and discount of $590 [($30,000 – $500) × 2%].	Accounts Payable	29,500	
	Cash		28,910
	Purchases Discounts		590
June 18. Sold merchandise on account, $12,500, n/eom. The cost of the goods sold was $9,000.	Accounts Receivable	12,500	
	Sales		12,500
June 22. Purchased merchandise, $15,000, terms FOB shipping point, 2/15, n/30, with prepaid freight of $750 added to the invoice.	Purchases	15,000	
	Freight In	750	
	Accounts Payable		15,750
June 28. Received payment on account from June 18 sale.	Cash	12,500	
	Accounts Receivable		12,500
June 29. Received $19,600 from cash sales. The cost of the goods sold was $13,800.	Cash	19,600	
	Sales		19,600